rural areas and 15 per cent of project cost as capital subsidy in urban areas for projects with a maximum cost of Rs 25 lakh in manufacturing and Rs 10 lakh in service enterprises. Thus, this scheme is restricted to micro-enterprises. The total allocation under this programme for 2020–21 was Rs 2500 crore. Assuming an average capital subsidy of Rs 5 lakh, the scheme can provide capital subsidy support to only 50,000 enterprises a year, not even 0.1 per cent of the micro-enterprises in the country.

Under the technology upgradation scheme, credit-linked capital subsidy is provided for technology and quality upgradation. With an allocation of a little over Rs 650 crore, the scheme is meant to assist micro and small enterprises to upgrade their manufacturing and processing technologies. Technology is costly. Even if we assume that the cost per unit assisted is, again, about Rs 5 lakh, the benefit will reach only about 12,000 micro units. Once more, a very shallow reach.

There are numerous other schemes with separate thematic objectives.

The short point is that the entire financial support of Rs 7500 crore budgeted by the government for a year for MSMEs is quite minuscule compared to the requirement of Rs 88 lakh crore estimated by IFC. The government support turns out to be less than 0.1 per cent of the estimated need.

Helping MSMEs with Alternative Investment Funds—a False Promise

The MSME Ministry intends to use the expertise of private equity funds and management to make investments in MSMEs. The idea is good in its intent but deficient in inspiring confidence.

There were two line items in the MSME Ministry’s Budget 2020–21 about such alternate investment funds (AIFs). One is the MSME Fund and the other is the Fund of Funds.